INS-006 · TWO DECISIONS MEMO

School fees and capital structure, each with the worked answer | HGF Management Company | July 12, 2026

For Dennis Lanni. July 12, 2026. The two open questions that move the most documents, each presented with the full worked answer, so both can be decided in one sitting. These are questions 9 and 10 in the Build Log; everything below is sourced to the claims register.

Decision one: school fees, in or out

Where the record stands. Every shipped surface says school fees are excluded at launch; the package-wide audit counted 55 exclusion notes, all deliberate. Your new agency guide, INS-301, says the opposite: section 6.5 lists school fees among eligible financing costs, and chapter 3 adds school districts as beneficiaries. One of these is the program and one is not, and only you can say which.

Why the exclusion existed. Nothing in the law forbids financing school fees; the exclusion was launch scope, resting on five facts. First, school fees belong to school districts, a second government: under Government Code 53316.2 a financing district may pay for another agency's facilities only through a joint community facilities agreement, so every overlapping district means a second board approving paper (register entry G7, verified against the statute, the State Treasurer's Debt Financing Guide, and a live Riverside example). Second, school fees run on their own payment rail: paid to the district, cleared by certificate before permits. Third, school fees are among the largest line items on a fee bill, and folding them into the special tax consumes the two-percent-of-home-value burden ceiling. Fourth, more financing per lot presses against the four-to-one appraised value policy on small projects. Fifth, one counterparty per city keeps adoption to a single council vote.

The mechanics that change the calculus. The builder proposed a structure on July 12 that dissolves the operational objections: the developer pays the school fee out of pocket exactly as today, presents the district's clearance certificate as proof, and the program reimburses from note proceeds. The district never touches a closing; its role shrinks to signing one thin master joint community facilities agreement per city-and-district pair, covering all future annexations, mirroring the requisition pattern in the Riverside precedent. Bond counsel confirms two points: that fee reimbursement still requires the agreement, and the look-back window for reimbursing fees paid before annexation. What no structure changes is the arithmetic: the special tax still grows by the school fee, so the burden ceiling and coverage tests still gate each deal.

The decision. Include, adopting the pay-then-reimburse mechanics, sending the two confirmations to bond counsel, re-testing the burden and coverage math in the workbook, and flipping the 55 exclusion notes in one sweep; or keep the exclusion, in which case INS-301 gets corrected at adoption and nothing else moves.

Decision two: one note per project, or the platform

Where the record stands. The whitepaper, the capital partner brief, and the website all describe privately placed, tax-secured notes, one per project, each secured only by its own project's special taxes.

What your newer writing describes. INS-301 section 6.6 and your July 12 capital-markets notes describe a revolving warehouse credit facility making per-project advances, a private placement program, and pooled tax-exempt bonds as the optional permanent take-out once the portfolio stabilizes.

The reading your own notes support. These are one machine at different altitudes: origination writes the notes one project at a time, the warehouse facility carries the growing portfolio, and the bond take-out is the eventual exit. On that reading the shipped documents are true descriptions of the origination layer, and the new layers stack on top rather than replacing anything. Confirming it unlocks the investor guide's chapters two through five as written in the INS-303 outline, adds one section to the whitepaper, and leaves the capital brief standing. If instead the facility replaces the note-per-project structure, the whitepaper, capital brief, primer, deck, and website hero all need substantive rewrites before anything goes external.

The decision. One word: is the pipeline reading right?

What happens after you answer

Each answer lands in the whitepaper first and cascades outward, in the delivery order's sequence, so nothing gets edited twice. The include answer on school fees is roughly a day of edits plus the counsel items; the pipeline confirmation on capital structure is roughly an hour.